I. 2. b. 6

OCDE
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ECONOMIC SURVEYS

I. 2. b. 6.

GERMANY

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS MARCH 1967

BASIC STATISTICS OF GERMANY (F.R.)

THE LAND

Area, 1966 (thousand km²)	249
Agricultural area, 1965 (thousand km²)	141
Forests, 1965 (thousand km²)	72

Major cities, June 1965

	Million inhabitants
Berlin (West)	2.2
Hamburg	1.9
Munich	1.2
Cologne	0.9
Essen	0.7
Dusseldorf	0.7
Frankfort	0.7
Dortmund	0.7

THE PEOPLE

Population 1965 (thousand)	59,012
No. of inhabitants per km²	237
Net natural increase in population (annual average 1963-1965)	389,667
— per 1,000 inhabitants	6.7
Net immigration (annual average 1963-1965)	273,000
Labour force, total 1965	27,153,000
Labour force in industry, 1965	13,218,000

PRODUCTION

GNP 1965 (billions of DM)	448.8
GNP per head 1965 (US $)	1,901
Gross fixed investment (average 1963-1965):	
— per cent of GNP	27
— per head (US $)	480
Origin of GDP, 1965 (per cent):	
Agriculture, forestry, fishery	4
Industry (incl. construction)	53
Services	43
Home food production as a percentage of total food availability (average 1964-1965)	65

THE GOVERNMENT

Public consumption 1965 (per cent of GNP)	15.6
General government current revenue 1965 (per cent of GNP)	36
Public debt, 1965 (ratio to general government revenue)	51

Composition of Federal Parliament

Christian Democrats	245 seats
Social Democrats	202 —
Free Democrats	49 —

Last election: 19th September 1965.
Next election: 1969.

LIVING STANDARDS

Calories per head, per day 1964-1965	2,914
Average gross hourly earnings of male industrial workers, 1966 (DM)	4.84
No. of passenger cars in use, mid-1965 (per 1,000 inhabitants)	146
No. of telephones end 1964 (per 1,000 inhabitants)	140
No. of radio sets end 1965 (per 1,000 inhabitants)	303
No. of television sets end 1965 (per 1,000 inhabitants)	193
Public current expenditure on education per head, 1965 (US $)	44

FOREIGN TRADE

Exports:

Exports of goods and services as per cent of GNP (average 1963-1965)	20
Main exports, 1966 (per cent of total merchandise exports):	
Products of agriculture, forestry and fishing	1
Basic materials and semi-finished goods	31
Manufactured foods and tobacco	2
Other consumer manufactures	10
Investment goods	54
Other exports	2
Total	100

Imports:

Imports of goods and services as per cent of GNP (average 1963-1965)	19
Main imports, 1966 (per cent of total merchandise imports):	
Products of agriculture, forestry and fishing	20
Basic materials and semi-finished goods	36
Manufactured foods and tobacco	9
Other consumer manufactures	13
Investment goods	17
Other imports	5
Total	100

THE CURRENCY

Monetary unit: Deutsche Mark.

Currency units per US dollar 4.00

NOTE. Figures include the Saar and West Berlin.

ECONOMIC SURVEYS BY THE OECD

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GERMANY

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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INTRODUCTION

Towards the latter part of last year the German economy began to develop recessionary tendencies which reinforced themselves in the early months of 1967. These were partly brought on by policy measures taken to correct the internal and external imbalance which had developed in 1965. That year had seen the highest vacancy/unemployment ratio and by far the biggest current balance of payments deficit ever recorded in the Federal Republic, together with the steepest consumer price rise since the post-Korean boom. Budget policy, with steeply rising expenditure and income tax cuts, had contributed to the overheating of the economy. Monetary policy, in contrast, had been steadily tightened since mid-1964. To cope with the overheating, measures of fiscal restraint were taken in 1966; and the restrictive attitude of monetary policy was reinforced. More stable cost/price conditions and a sharp reversal of earlier balance of payments trends ensued.

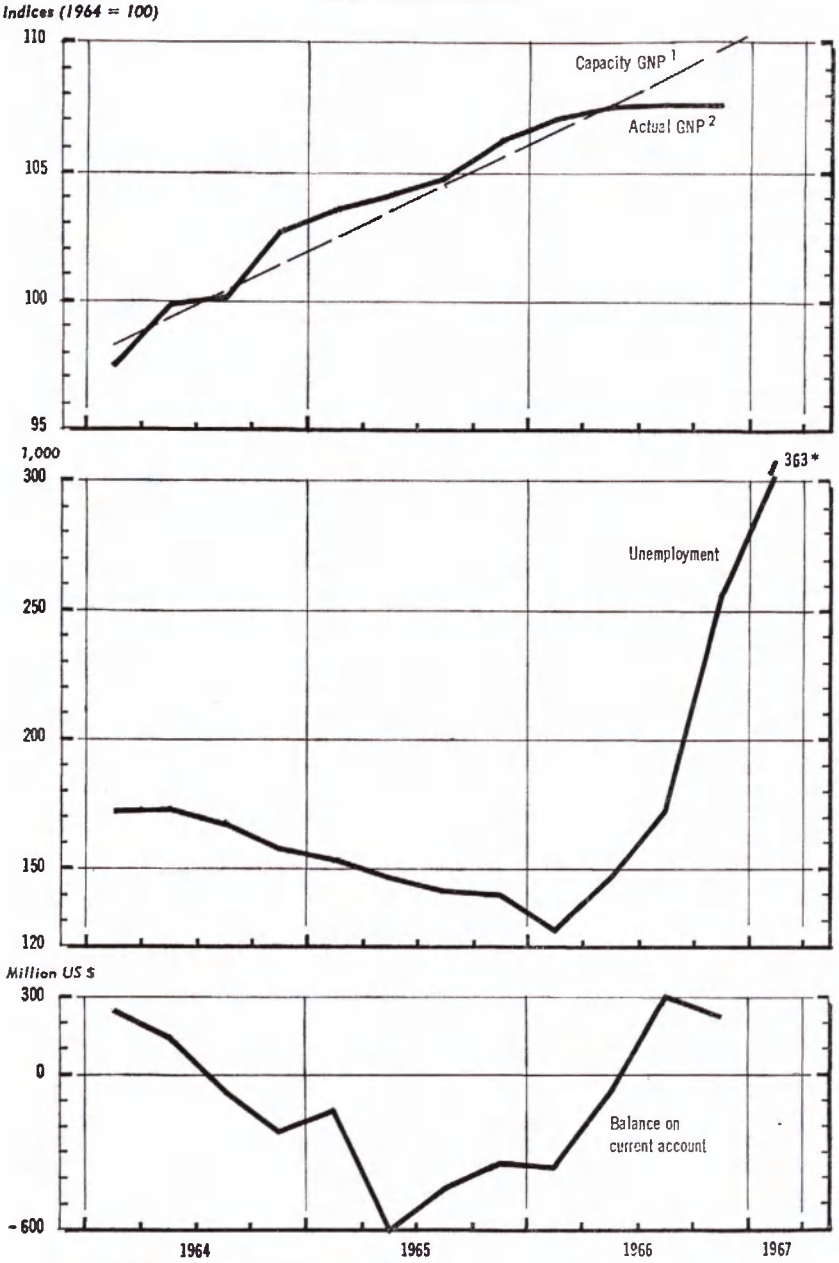
The adjustment has, however, overshot the mark. The growth of activity has been depressed substantially below the growth of capacity; in February, unemployment was higher than in February of any year since 1959 and short-time work reached a post-war peak. A revival of domestic demand is probable in the course of the year, influenced by the policy measures recently taken to that end. The budget proposals announced in January aimed at providing a renewed stimulus to demand, and monetary policy has been relaxed by stages. But it is uncertain how strong the recovery will be and the possibility that further expansionary measures may have to be taken cannot be excluded. This survey assesses prospects in the light of present trends and discusses the adaptations of policy appropriate to bring the economy back on a satisfactory rate of growth.

I. REVIEW OF 1966

Internal Trends

The expansion of demand had begun to slow somewhat in the course of 1965. The first half of 1966 saw little further deceleration and the weakening became marked in the second half. This was due to sagging

Diagram 1. **GNP, UNEMPLOYMENT AND THE CURRENT BALANCE**
SEASONALLY ADJUSTED



1. Assumed rate of growth: 4 per cent a year.
2. At constant (1954 prices).
* Average of end-January, end-February and mid-March.

Sources: Main Economic Indicators and Secretariat estimates.

domestic demand; the growth of foreign demand was strong throughout the year. Pressure on the labour market fell off markedly as the year went on; and the rise of wages and prices moderated.

Demand

All the main components of domestic demand contributed to the weakening of the conjuncture, but the slowdown of growth was particularly marked in government expenditure and business investment. The volume of government consumption was barely maintained, in contrast to a steep advance in 1965, and the growth of real public investment virtually ceased in the course of the second half of the year. This resulted from the adoption of a more restrictive budget policy and from the growing tightness of money and capital markets which raised the cost and reduced the scope for new public borrowing. The trend of business fixed investment steadily weakened through the year. In the autumn of 1965 replies to an IFO enquiry had suggested a 5 per cent growth of industrial capital spending in current prices in 1966, as compared with an advance by 16 per cent in the previous year. The March 1966 enquiry had pointed to only a 3 per cent increase. In fact, fixed investment in industry appears to have fallen below the 1965 level with a fairly marked decline in the later months of the year.

TABLE 1. **OUTPUT AND EXPENDITURE**

Percentage change from preceding year (constant 1965 prices).

	1965	1966
Private consumption	6.1	3.2
Government consumption	6.6	0.3
Gross fixed asset formation	6.9	0.9
Building and construction	3.0	3.0
Machinery and equipment	10.1	— 1.2
Domestic expenditure, including stock changes	6.6	0.9
Exports	7.1	10.4
Imports	14.8	2.1
GDP at market prices	5.2	2.6
Change in stocks (in per cent of GDP)	1.5	0.3

Source: Wirtschaft und Statistik, January 1967.

The growth of total real gross fixed asset formation dropped from 6.5 per cent in 1965 to under 1 per cent last year. The rise of investment in machinery and equipment seems to have come to a standstill

in the summer. By the fourth quarter the value of home market sales of domestic machinery and equipment had dropped 4 per cent below the level of a year earlier and capital goods imports had fallen by 2 per cent. The inflow of domestic orders to the capital goods industries declined sharply. The impact of the weakening of investment demand was also pronounced in building activity. After a strong upturn in the early months of 1966 because of excellent weather, demand for building steadily lost strength, and since the autumn output has been declining. This contrasts sharply with earlier periods of conjunctural slack when the building industry usually exercised a stabilising influence. Building demand on the part of the public authorities, notably the Länder and Communes, contracted in the course of last year. Local government finances have become markedly tighter over the past couple of years and they were strongly affected by tight money and capital market conditions. These conditions also had an impact on demand for residential building and this was reinforced by a less generous government policy in respect of housing finance.

TABLE 2. **INDICATORS OF BUILDING ACTIVITY**

Percentage change from previous year.

	1964	1965	1966			
			1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
Building output, total	11.5	1.6	17.1	2.7	— 2.6	— 1.7
Hours worked, total	9.4	— 3.7	10.2	— 3.0	— 5.6	— 2.9
dwellings	8.2	— 3.5	12.9	— 3.5	— 4.9	1.7
other private	6.0	—	6.7	— 1.2	— 4.8	— 6.8
public	12.5	— 6.0	9.7	— 3.4	— 6.6	— 4.1
New building permits (m^3), total	12.0	2.4	13.6	— 5.6	— 9.7	— 10.3
dwellings	6.6	6.2	12.1	— 4.3	— 9.7	— 13.9
other private	21.5	— 2.5	15.7	— 5.7	— 1.9	— 2.5
public, excl. civil engineering	17.3	— 0.8	13.5	— 13.1	— 29.5	— 13.1
New promises of mortgage finance for housing	19.1	8.2	— 3.3	0.4	— 8.2	
Public capital aid to housing:						
grants	31.5	— 9.2	— 13.7	— 15.4	— 2.3	
disbursements	32.2	6.2	— 11.6	— 7.2	— 13.3	
Unemployment of building workers	— 18.3	— 3.7	— 24.2	— 5.7	45.6	129.0
Vacancies for building workers	— 7.1	— 8.7	— 8.1	— 15.6	— 19.5	— 47.1

Sources: Wirtschaft und Statistik; Bundeswirtschaftsministerium.

Stockbuilding activity fell off sharply in the first half of 1966 and in the second half there seems to have been some net decumulation of inventories after fairly vigorous stockbuilding activity in the previous

year. Stocks of finished goods in industry and trade rose because of weakening demand, but stocks of basic commodities and industrial materials were substantially reduced.

The rise of private consumption also slowed considerably. Household incomes increased much less than earlier, reflecting a decline of employment, a slower increase of wage and transfer payments and the wearing-off of the effects of the 1965 income tax cuts. In the first half of the year the effect on consumption of the weaker trend in incomes was partly offset by a reduction of savings. In the second half consumer spending carried the brunt of the slowdown; the volume of retail sales, seasonally adjusted, remained virtually stable, the inflow of new orders to the consumer goods industry declined sharply, and in the autumn imports of consumer goods were clearly down on the year.

Over the whole year 1966, the volume of total domestic demand was only about one percentage point higher than in 1965 (as compared with an increase of 6.6 per cent between 1964 and 1965). It provided substantially less stimulus to economic activity than did the improvement of the foreign balance. Indeed, little more than one third of the increase of GDP in 1966 was attributable to domestic demand. Estimates of domestic demand, seasonally adjusted, for the two halves of the year show a marked slowdown of growth in the first half and an absolute downturn in the second half. There was a slight increase in output between the two halves of the year only because foreign demand continued to rise rapidly.

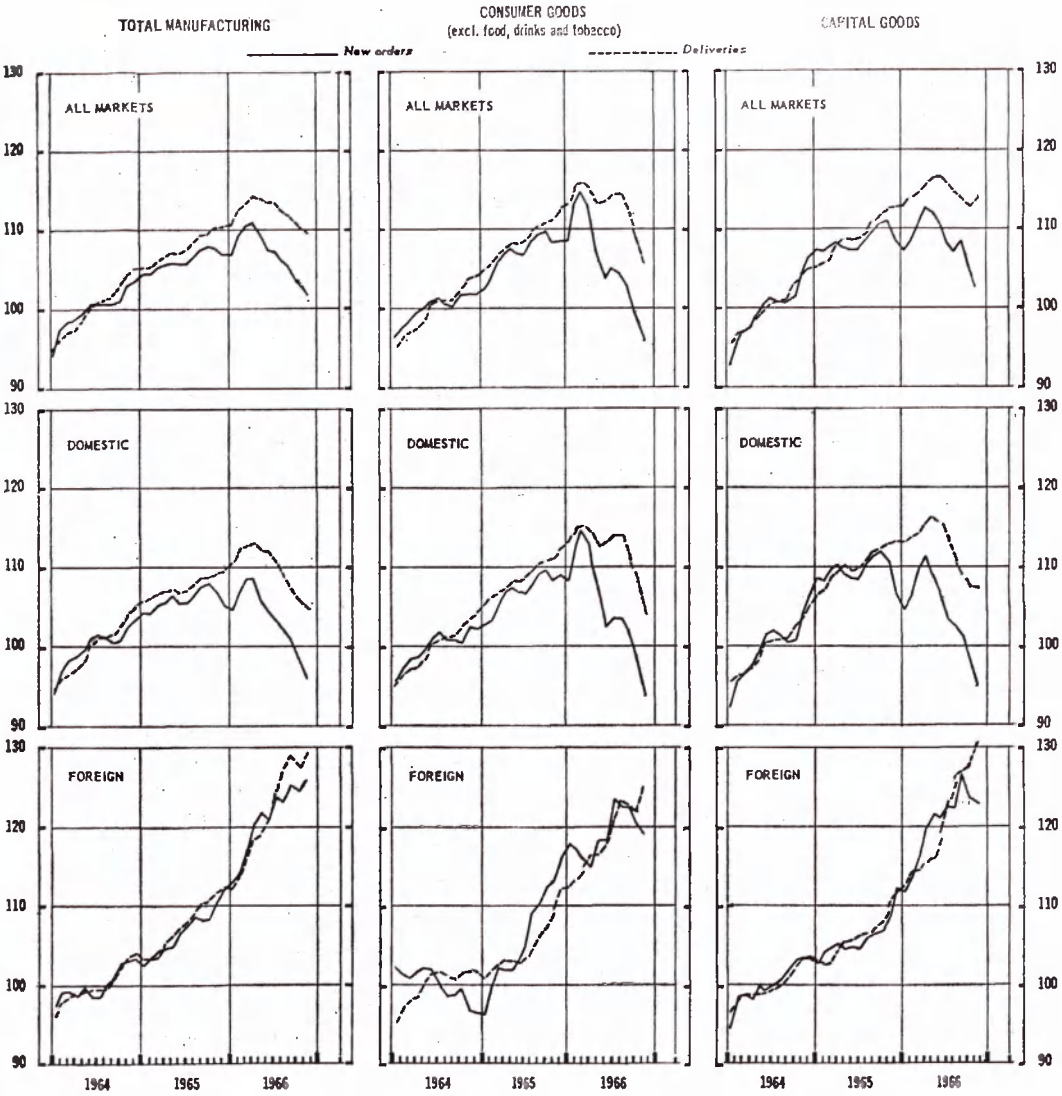
Supply

The slowing down of demand has resulted in growing under-utilisation of capacity. Real GNP rose by 2.6 per cent from 1965 to 1966, with the rise almost entirely limited to the first half of the year. Industrial production, seasonally adjusted, has been falling fairly steadily since the middle of the year and was 3.9 per cent down on the year in January. Capacity utilisation has declined in building and all main sectors of manufacturing, particularly in the capital goods industry. An IFO enquiry relating to January showed a 9 per cent decline in the rate of capacity utilisation in industry as a whole as compared with January 1966. This was the lowest rate recorded in January enquiries over the last ten years — and it was 14 per cent below the average rate of capacity utilisation preferred by industry (90 per cent). Other available indicators show the industrial conjuncture steadily losing strength during the year.

The weakening of demand had a fairly pronounced impact on labour market conditions. Employment in both building and manufacturing industries fell. The intake of foreign labour slowed down in the first half of the year. In the second half the employment of foreign workers

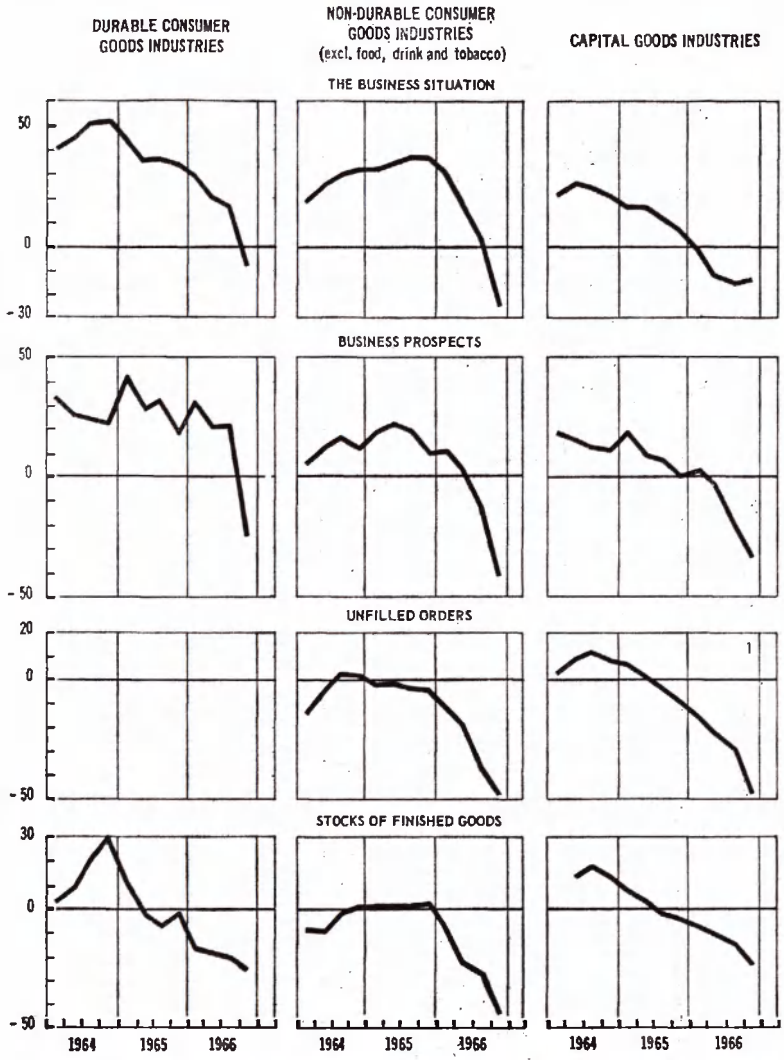
Diagram 2. **NEW ORDERS AND DELIVERIES IN MANUFACTURING INDUSTRY**

MOVING THREE MONTH'S AVERAGES OF SEASONALLY ADJUSTED INDICES, 1964 = 100



Source: IFO Schnelldienst.

Diagram 3. **BUSINESS SURVEYS IN MANUFACTURING INDUSTRY**



Note : The charts show the difference between the percentage of weighted affirmative replies to Questions A and B.

	Question A	Question B
Is the business situation	good	bad
Are business prospects	good	bad
Are unfilled orders	relatively big	inadequate
Are stocks of finished goods	too small	too big

1. Including certain consumer durables.

Source: IFO Schnelldienst.

TABLE 3. THE LABOUR MARKET

Change from the corresponding period of the previous year.

	1965	1966	1966				1967
			1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	JANUARY
Employment in industry (per cent)	1.9	—0.9	0.5	—0.3	—1.0	—2.8	
Hours worked in industry (per cent)	0.4	—4.5	—0.9	—2.9	—3.6	—6.2	
Employment in building (per cent)	—	—2.3	1.1	—1.7	—3.5	—4.7	—10.0
Hours worked in building (per cent)	—3.7	—1.4	10.2	—3.0	—5.6	—2.9	19.6
Employment of foreign labour (per cent)	24.0	10.1	16.1	12.8	7.9	—5.0	—5.2
Short-term workers[1] (thousand)	—1	15	4	2	4	49	232
Vacancies (per cent)	6.5	—18.6	—4.1	—10.9	—18.6	—42.9	—53.4
Unemployment (per cent)	—12.8	14.7	—17.0	0.3	23.2	88.6	131.1
Unemployment seasonally adjusted/dependent labour force (per cent)	0.7	0.8	0.6	0.7	0.8	1.1	1.4

1. Workers on week of less than 35 hours.

Source: Appendix Table II.

declined by nearly one fifth, a much bigger reduction than could be expected on seasonal grounds (in the second half of 1965 the decline had been only 3.5 per cent). The outflow of labour from agriculture fell sharply, reflecting slack demand conditions in other sectors. The tendency to work short-time increased strongly and the frequency of overtime work declined. An IFO enquiry in January showed that, unlike previous years, one third of industrial enterprises questioned planned to release labour during the months ahead. Registered unemployment rose and the number of reported vacancies declined to levels not attained since 1959. The 673,600 unemployment figure for end-February is swollen by seasonal influences; seasonally adjusted, it corresponds to 1.7 per cent of the dependent labour force. This is still only moderately high, but it is substantially more than that of February 1966 (0.6 per cent). Unemployment data tend to understate the extent of easing of the labour market; they exclude the large numbers of foreign workers who have left Germany in recent months.

Wages and Prices

The easing of labour market conditions has had a clear impact on wage settlements and earnings. The year-to-year increase of hourly industrial earnings dropped from 9.8 per cent in 1965 to 5-6 per cent in the second half of 1966, when it was roughly in step with the rise in average wage rates; in earlier years there had been substantial wage-

TABLE 4. WAGES

	WAGES OF MALE INDUSTRIAL WORKERS		AVERAGE PAY RISE ACCORDED IN NEW SETTLEMENTS
	HOURLY RATES	HOURLY EARNINGS	
	Per cent change from previous year		*Per cent*[1]
1964	7.1	8.4	7.8
1965	8.1	9.8	7.1
1966	6.8	6.5	
1966: 1st quarter	7.0	7.3	5.6
2nd quarter	7.6	7.1	5.8
3rd quarter	6.1	6.3	5.7
4th quarter	6.0	5.3	3.6

1. Average increase of standard hourly wage and salary rates accorded in new settlements coming into effect during the period indicated.

Sources: Main Economic Indicators; Drittes Jahresgutachten des Sachverständigenrates zur Begutachtung der gesamtwirtschaftlichen Entwicklung.

drift. The bulk of wage and salary earners enjoyed upward adjustments of standard rates in 1966. But revisions coming into effect were smaller than those previously accorded, and there was a tendency in the new settlements to extend the duration of the wage contract. The rise in industrial wages in 1966 was still somewhat in excess of the trend rate of growth of productivity in manufacturing industries. (The actual increase in output per employed person last year was of course smaller than average, because of the falling rate of capacity utilisation.)

The weakening of demand was associated with a more stable movement of prices in most areas. Producer prices charged in home market sales have been declining since last summer in the capital goods industries; in the consumer goods sector they were hardly higher at the end of the year than six months earlier. This trend was helped by declining prices of industrial materials in the second half of 1966; but it largely reflected the weakening of demand. The moderation of the price rise of German capital and consumer goods was less pronounced in export business, where demand was strong. Road construction prices continued to decline in 1966, though less rapidly than in the previous year; building costs for dwellings started falling in the autumn.

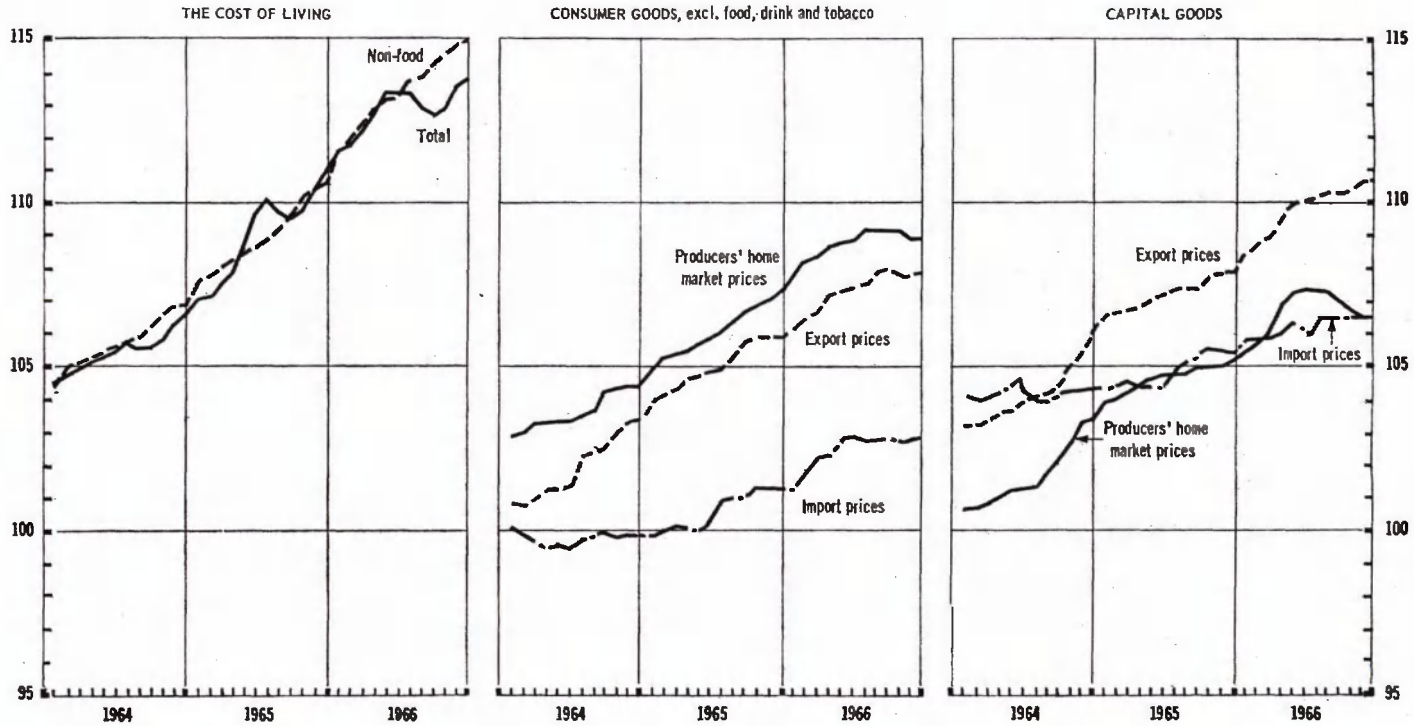
The year-to-year rate of increase of the cost-of-living index declined from 4.2 per cent in January 1966 to 2.3 per cent last January, when the index was hardly higher than six months earlier. This places Germany in a relatively favourable position as regards price experience in the OECD area. The greater stability was partly due to a normalisation of food prices associated with good harvests at home and abroad. Experience in respect of non-food prices was less satisfactory. In the second half of 1966 these were still going up at the same rate as in 1965 (3 per cent). One reason for this was a fairly steep rise of publicly-controlled prices in the early months of the year. The second phase of the Federal rent reform, providing for increases of controlled rents, came into effect and in many areas the reduction of the housing shortage led to rent liberalisation[1]. Substantial upward adjustments of certain other publicly controlled prices, notably in transport and communications, also took place.

The Balance of Payments

Germany's external position improved sharply in 1966. The basic account, which had shown a deficit of $ 1.3 billion in 1965, had swung into surplus by the second half of 1966. The most important single factor in the swing was a marked improvement of the trade balance; the trade surplus f.o.b./f.o.b. increased by $ 1.6 billion, amply offsetting the $ 1.1 bil-

1. Under ruling arrangements, rent control is abolished once the officially calculated housing shortage falls below a stipulated level.

Diagram 4. **PRICES** *(indices, 1962 = 100)*



Source: Wirtschaft und Statistik.

lion decline occurring in 1965. This mainly reflected the slowdown in German activity and consequent falling off of German imports. But it was also affected by the renewed expansion in neighbouring countries, notably France and Italy, to whom the growth of exports steepened. Since the middle of the year imports, on a seasonally adjusted basis, have tended to fall, while the growth of exports has remained steep.

The pronounced fluctuations in the growth rate of imports over the past two years followed the movement of home demand quite closely. The rise in imports of industrial materials and finished manufactures fell off sharply in the first half of 1966 and was reversed in the fourth quarter. In the second half of the year, commercial non-food imports, seasonally adjusted, were declining at an annual rate of 10 per cent, as compared with a 13 per cent rate of increase in the first half. 1966 may have seen a reversal of the previous tendency for prices of imported finished manufactures to decline relative to prices charged at home by domestic producers, and foreign suppliers appear to have lost ground in the German market in the second half of 1966.

Two factors unrelated to the conjuncture helped the slowdown of imports in 1966. From the summer, food imports ran below the 1965 level because of the good harvest. (The 1965 harvest had been poor and imports of food, particularly manufactured foods, rose steeply that year.) And variation in government imports—mainly military equipment—have strongly reinforced the fluctuations of the trade balance over the last two years. In 1965 they rose sharply by some DM 0.9 billion, and accounted for some 5 per cent of total c.i.f. imports. In 1966 they were reduced by about one third, with a sharp cut in the first half of the year and a new upturn in the late months of the year.

TABLE 5. COMMODITY IMPORTS

Percentage change of c.i.f. values from previous year.

	1964	1965	1966	1966 1st HALF	1966 2nd HALF
Products of agriculture, forestry and fishing	11.1	13.5	1.8	11.0	— 6.5
Basic materials and semi-finished goods	22.6	12.3	2.9	4.2	1.7
Manufactured foods and tobacco	5.3	24.4	5.7	16.3	— 2.5
Other consumer manufactures	14.7	25.6	8.3	18.1	— 0.1
Investment goods	17.9	31.2	10.8	19.8	2.5
Other imports	— 30.2	46.7	— 23.8	— 37.8	— 9.8
Total imports	12.6	19.7	3.2	7.8	— 1.1

Source: Appendix Table VIII.

The growth of the deficit on current invisible transactions was interrupted in 1966, partly in response to the weakening of home demand. The rise of freight and insurance payments slowed down sharply with the flattening of commodity imports; the easier labour market brought a marked moderation of the growth of foreign worker remittances, net travel expenditure rose less steeply than previously in response to the slower growth of consumer incomes. These trends coincided with an upturn of receipts from foreign troops in Germany.

The long term capital account, in $ 0.2 billion surplus in 1965, was roughly in balance last year. The change largely reflected an upturn of private German investments abroad, and some rise of official capital exports. Foreign private long-term investment in Germany was slightly lower than in the previous year with a drop in portfolio and direct investments more than offsetting an increase in loans and credits. German enterprises again sharply increased their net short-term borrowing abroad in 1966. About two-thirds of the DM 0.9 billion increase of such net borrowing was however due to a decline in conversion of short-

TABLE 6. THE BALANCE OF PAYMENTS

$ million.

	1965	1966
Trade balance	1,273	2,916
Exports	17,870	20,097
Imports, f.o.b.	16,635	17,233
Merchandise transactions abroad, net	38	52
Services and transfers, net	—2,791	—2,811
Current balance	—1,518	105
Long-term capital[1]	207	31
Private	526	371
Public	— 319	— 340
Basic balance[1]	—1,311	136
Short-term capital and unrecorded (excl. commercial banks)	1,042	579
Commercial banks, net	— 47	— 97
Balance on official settlements	— 316	618
Special transactions[2]	— 115	— 118
Net IMF position	— 164	— 180
Miscellaneous official assets and liabilities, net	— 19	98
Gold (+ = increase)	162	— 118
Currency assets (+ = increase)	— 776	536

1. Excluding special transactions.
2. Defined here as including debt prepayments and hanges in special deposits with the Bank of England.

Source: Statistical Annex, table IX.

term credits into long-term loans and capital stock. Errors and omissions produced a much smaller net inflow than previously, probably largely because of changes in leads and lags associated with the improvement of the trade balance. The net inflow due to short-term borrowing by German enterprises and errors and omissions combined contracted. At the same time the net inflow of official short-term capital virtually disappeared as the German Government ceased to draw on outstanding prepayments on military imports. The commercial banks raised their net money exports from $ 47 million in 1965 to $ 97 million in 1966.

As a result of these movements the total net inflow of capital—long-term and short-term, including errors and omissions and banking transactions, but excluding special transactions—fell from $ 1.2 billion in 1965 to $ 0.6 billion last year. The balance on official settlements therefore strengthened less than the current balance, but nonetheless swung from a $ 0.3 billion deficit to a $ 0.5 billion surplus. This was partly financed by special transactions; prepayments on the official foreign debt more than offset the utilisation of special deposits with the Bank of England. The net IMF position improved. And the official gold reserves and foreign assets position rose by $ 418 million, compared with a decline of $ 614 million in 1965.

Monetary and Budgetary Policies

The authorities had already begun to tighten monetary policy in the summer of 1964, reinforcing it in 1965 when budgetary relaxation had contributed in no small measure to the overheating of the economy. The conflict between the two policies was not removed until the spring of 1966 when the budget, in turn, became restrictive and when further measures of monetary restraint were taken. A proposal for a " Stabilisation Law[1] " aiming at creating conditions for a more flexible contra-

1. The Bill submitted to Parliament requires the Federal and Länder Governments to pursue, on the basis of financial planning covering a period of several years, a budget policy in conformity with the needs of the conjuncture. It provides for authorization by statutary order to restrict borrowing by the public authorities and bank lending, and for wider scope to vary depreciation allowances under certain conditions. Finally, the Bill foresees that certain obligations will be imposed on social security institutions with regard to the use of their liquid funds.

It is expected that the Bill will be modified in the course of the parliamentary discussions. Thus, it is being considered to require the Federal Government to submit annual reports quantifying economic policy objectives and outlining the proposed economic and financial policy. It is proposed that the Federal Government should supply industry and labour with orientation data for a concerted action on incomes, that there should be possibilities to act with a view to safeguarding the economy from inflationary pressures from abroad, and authorization to vary rates of income and corporate taxes. The setting up of an Economic Policy Board to co-ordinate economic policy is also envisaged. Parliamentary discussions are not as yet sufficiently advanced to know how far the proposed modifications and amendments will be considered.

cyclical policy, was submitted to Parliament last autumn. Some steps have been taken towards evolving an incomes policy: the new Government which took office in December has annouced its intention of providing orientation data for wage policy in the current year.

Monetary Developments

The policy measures taken in 1965 to calm the conjuncture, described in last year's Survey, were followed by further restrictive action in the spring of 1966. This included:

i) An increase of Bank rate from 4 to 5 per cent.

ii) An increase of Bundesbank selling rates for money market paper which, together with the upward adjustment of rates effected in January 1966, totalled 1.1—1.3 percentage points—virtually repeating the increases made in 1965.

iii) A reduction of banks' rediscount lines with the Bundesbank by 12.5 per cent. (This had originally been announced for October 1965 in addition to the 12.5 per cent cut then effected.)

In the first half of 1966 these measures, importantly aided by the balance of payments deficit still prevailing, had significant effects on bank liquidity, the supply of credit and interest rates. The banks' net liquidity

TABLE 7. **BANK LIQUIDITY AND LENDING**

Increase or decrease in DM billion.

	1964	1965			1966		
		YEAR	1ST HALF	2ND HALF	YEAR	1ST HALF	2ND HALF
Net liquidity position[1]	—2.6	—2.2	—0.3	—2.0	0.3	—2.1	2.4
Lending to non-banks, total	29.0	32.1	15.0	17.0	26.2	15.5	10.7
short-term	5.7	7.0	4.7	2.4	5.1	5.2	—0.1
medium- and long-term	23.3	25.0	10.4	14.7	21.1	10.3	10.8
public authorities	7.1	6.8	2.5	4.2	6.7	2.8	3.8
other non-banks	21.8	25.3	12.5	12.8	19.5	12.7	6.9

1. Domestic treasury bills, non-interest bearing treasury bonds, storage agency bills and prime bankers' acceptances, foreign money market papers, short-term deposits with foreign banks, less net recourse to foreign short-term credits, less recourse to Bundesbank credit.

Source: Appendix Table V.

NOTE. Details do not always add, due to rounding.

position[1] continued to deteriorate. In June the banks had net borrowed reserves corresponding to 0.8 per cent of total deposits from non-banks, as compared with net liquid holdings corresponding to 1.5 per cent and 4.4 per cent of such deposits in June 1965 and June 1964, respectively.

The effect on credit conditions was most marked in the capital market. In 1966 total net issues of fixed interest securities fell to less than one half of the 1965 level. The banks reduced their net purchases by more than one half and made virtually no net purchases of non-bank bonds. There was also a growing disinclination on the part of other domestic investors to enter the market, probably reflecting a confidence crisis brought on by the continuous sharp drop of bond prices. The behaviour of foreign investors affected the market little in 1966. On the whole they have stayed away from German bonds since the announcement in 1964 of the withholding tax on yields on foreign-owned German bonds, despite the fact that a yield differential, net of tax, in favour of German bonds re-emerged in 1966.

TABLE 8. NEW CAPITAL MARKET ISSUES

DM billion.

	1964	1965	1966
German fixed interest securities:			
Net issues, total	13.5	12.5	5.5
Federal authorities	2.9	1.8	— 0.1
other public	0.3	1.3	0.5
banks	9.9	9.0	5.1
other private	0.3	0.4	—
Less: net repurchases by issuer, total	0.4	0.7	—
Net sales, total	13.1	11.7	5.5
to domestic banks[1]	4.5	3.2	1.5
of which: non-bank securities[1]	1.3	0.4	0.1
to domestic non-banks	8.6	8.4	4.1
to foreign investors		0.1	— 0.1
Foreign fixed interest securities, net issues	0.9	1.4	0.6
Equities, net issues (issue value)	2.2	4.0	2.7
Total net issues	16.6	17.8	8.8

1. The figures are based on changes in banks' holdings and are adjusted for write offs effected because of falling bond prices. These write offs amounted to DM 130 million in 1965, DM 589 million in 1966 on total holdings and DM 49 million in 1965, DM 160 million in 1966 on holdings of non-bank fixed interest securities.

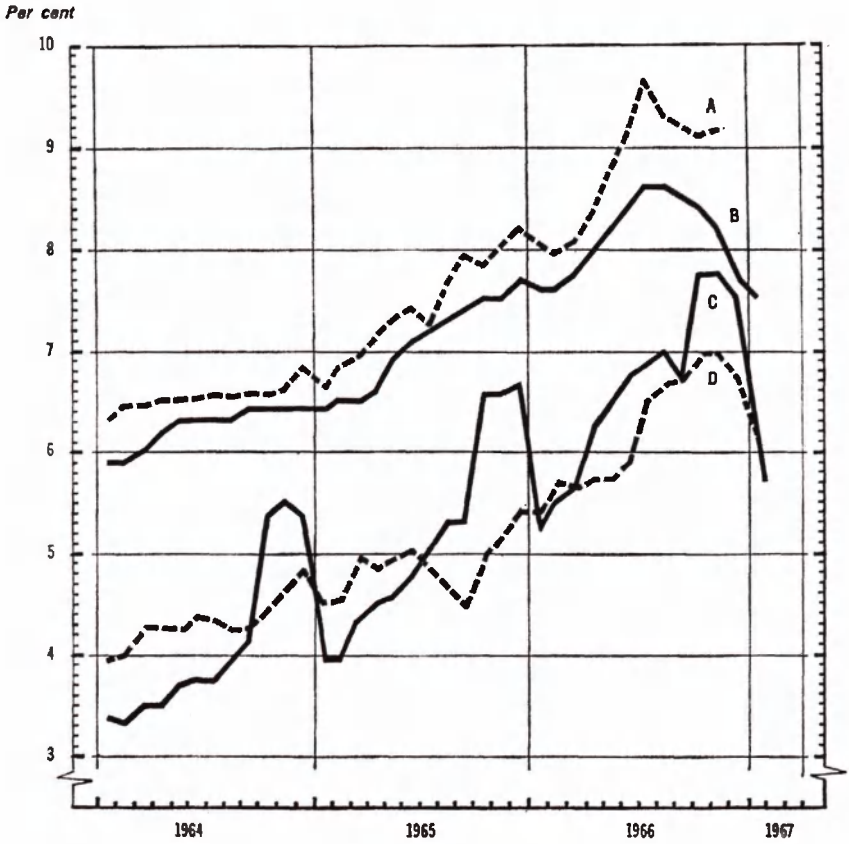
Source: Deutsche Bundesbank.

NOTE. Detail may not add, due to rounding.

1. Domestic treasury bills and non-interest bearing treasury bonds, storage agency bills and prime bankers' acceptances, foreign money market papers, short-term deposits with foreign banks, less net recourse to foreign short-term credits, and to Bundesbank credit.

The effect of the squeeze on bank credit was more moderate, the year-to-year growth rate of credit expansion did not strongly moderate until the summer of 1966. During the summer, and more notably in the autumn, the banks' lending activity became considerably more modest. But since this coincided with an improvement of bank liquidity and

Diagram 5. **INTEREST RATES**



A. Promissory notes (average yields on new representative issues).
B. Bonds of public authorities (average yields on issues in circulation).
C. Three months' loans, Frankfurt (averages of extremes during month).
D. Three months' loans, Euro-dollar market (averages of weekly quotations).

Sources: Monthly Report of the Deutsche Bundesbank, Financial Times, Deutsche Bank.

lending capacity, it probably reflected the weakening trend of output and demand rather than the direct results of monetary restraint.

The decline in the volume of funds raised in the form of new bank credit and capital market issues somewhat exaggerates the effect of monetary restraint. It was partly offset by an increase in funds made available through other channels. Thus, institutional investors strongly expanded their lending against promissory notes[1] both in 1965 and 1966. (These are medium- and long-term loans, and even under normal money and capital market conditions German enterprises and public authorities frequently prefer to raise funds in this way rather than to resort to the open market.) Moreover, the business sector has borrowed substantial net amounts of long- and short-term funds from abroad during the last couple of years, and there has been a large net inflow due to leads and lags in foreign payments. The total of net loans and credits obtained abroad by private non-banks, plus balance of payments errors and omissions, went up from $ 0.6 billion in 1964 to $ 1.0 billion in 1965 and to $ 1.1 billion in 1966. Foreign direct investment in Germany, which had expanded strongly in 1965 largely due to a consolidation of the foreign share in German subsidiaries, fell last year.

The policy of monetary restraint saw interest rates rise sharply. Short-term rates, indeed, rose above comparable rates in the Euro-dollar marke[2]. By the summer of 1966 rates on non-negotiable promissory notes had reached 10 per cent and long-term bond yields, which had risen almost without interruption since the spring of 1964, were averaging 8.6 per cent on outstanding Government securities, the highest rate ever recorded in the Federal Republic.

To check the rise of yields, the committee of representatives of the public authorities (the so called Round Table) was set up in the spring of 1966. It met at intervals to assess the capital market situation and aimed at maintaining the 7 per cent bond type. The Bundesbank, as an agent of the Federal Government, made fairly large open market purchases in support of bond prices following the upturn of bond yields in the spring of 1964 and again in the spring of 1965, but has not since then entered the market on an important scale.

1. Total new borrowing by non-banks in the open capital market and from banks declined by DM 4.6 billion from January-September 1965 to January-September 1966, while lending against promissory notes increased by DM 0.7 billion. (Source: Kapitalmarkt und Börse, Dresdner Bank).

2. Money exports by the banks, however, continued to be favoured by the " offset rights " which maintained earning opportunities abroad above those at home. These rights allowed the banks to deduct their foreign assets from their foreign liabilities when calculating minimum reserves required against the latter. By exporting money, the banks were thus able to reduce their required minimum reserve holdings. Since minimum reserve rates applying to foreign liabilities were very high, a substantial gain was involved and permitted the banks to make 6-7 per cent on money exported to the Euro-dollar market, depending on the type of liability offset by the money export.

Budget Policy[1]

Federal budget policy became markedly tighter in 1966. Tax rates, which had been reduced in the previous year, remained essentially un-

TABLE 9. THE FEDERAL BUDGET[1] *DM billion.*

	1964	1965	1966	1967 CABINET BILL OF 19-1-1967
	BUDGET OUTCOME			
	National accounts basis[2] (including ERP and Equalisation of Burdens Fund)			
I. Current revenue	59.7	64.3	68.1	73.8
II. Expenditure on goods and services[3]	24.2	25.3	26.4	29.8
Current[3]	21.2	22.0	23.0	25.5
Gross asset formation	3.0	3.3	3.4	4.3
III. Transfer payments, net	32.9	38.2	39.7	42.7
Current, net	27.8	31.5	33.6	34.8
Capital, net	5.1	6.7	6.1	7.9
IV. Financial surplus (= net lending = I less II and III)	2.6	0.9	2.0	1.3
	Administrative basis (excluding ERP and Equalisation of Burdens Fund)			
V. Revenue[4], except from borrowing and coinage	59.11	64.04	67.03	72.58
VI. Expenditure[4], excluding transfer of Debt Registry claims to social insurance	61.04	66.27	69.78	74.03
VII. Balance (V less VI)	— 1.94	— 2.23	— 2.76	— 1.45
VIII. Provisional contingency budget expenditure	—	—	—	2.50
IX. Overall balance (V less VI and VIII)	— 1.94	— 2.23	— 2.76	— 3.95

1. Excluding transfer of Debt Registry Claims to social insurance institutions.
2. The estimates for 1967 include the full provisional contingency budget (DM 2.5 bill.).
3. Including all payments to abroad relating to government imports whether offset by such imports or not.
4. Including the Equalisation of Burdens Tax, excluding other transitory items.

Source: Finanzministerium, Bonn.
NOTE. Detail may not add, due to rounding.

1. Discussion of Federal finance is expressed in terms of budget data on a national accounts basis. This enables the economic effects of the budget to be assessed better than is possible if data on an administrative basis are used, since government transactions are classified according to their economic rather than administrative significance.

There remain, however, certain types of capital transactions which are not included in the Federal Government budget on the national accounts basis as given in Table 9, e.g., Federal grants to pension insurance funds made in the form of Debt Register Claims and certain Federal investment in transport and communications financed through ÖFFA (Germany Company of Public Works). These transactions totalled DM 1.1 billion in 1966 and are estimated at DM 2.8 billion for 1967.

changed apart from some increase of liquor and champagne taxes. But the rate of expenditure was significantly reduced, particularly in the first half of the year. Current and capital transfer payments rose by only 4 per cent in 1966 as compared with a 16 per cent increase in 1965. According to the figures in Table 9, spending on goods and services expanded roughly at the rate of the previous year (4.5 per cent). But this appears to have entailed a decline in the growth of Federal purchases of goods and services at home since payments to abroad for armament imports are included in full under spending on goods and services and these payments were significantly reduced in 1965 and kept stable last year. The lower rate of expansion of spending resulted mainly from cuts made in the spending estimates when the budget was voted last spring. Cuts made in response to the shortfall of tax receipts associated with the slowing down of incomes and activity were less important. The financial surplus [the excess of revenue over expenditure on goods and services and transfer payments] rose by DM 1.1 billion (0.2 per cent of GDP) following a decline by DM 1.7 billion in 1965. The overall deficit on an administrative basis rose by DM 0.5 billion as against an increase by DM 0.3 billion in 1965.

II. 1967 PROSPECTS

By late 1966, recessionary tendencies seemed to have gained the upper hand in Germany, with the previous inflationary pressures largely mastered. The question of immediate importance, both to Germany and other countries, concerns the size and duration of any further downturn and speed with which the growth process can be restored.

Recent Policy Measures

Various policy measures which will have a bearing on the movement of demand in the months ahead have been taken. Monetary conditions began to ease in the second half of 1966; bank liquidity rose, market yields fell and capital market activity recovered somewhat (see Chart 5, Tables 7 and 8). This mainly reflected the improvement of the balance of payments. Positive action to reverse the restrictive course of monetary policy has so far included a lowering of Bank rate from 5 to 4.5 per cent in January and to 4 per cent in mid-February, a reduction of Bundesbank selling rates for money market paper in five successive steps, starting end-December, by a total of 1.25 percentage points, and a DM 0.6 billion cut of reserve requirements against foreign liabilities. Reserve

requirements against domestic sight and time deposits were lowered in December counteracting the effect on bank liquidity of the abolition of the " right to offset " (see footnote page 22). This will have the effect of discouraging outflows of banking funds[1] and should increase monetary ease at home. A further, and general, reduction of minimum reserve ratios by 10 per cent (setting free DM 1.7 billion) was made in mid-February.

In the fiscal field, new budget proposals were announced in January (replacing those presented in October and November last year). The Government has had two objectives which, in the present situation, are necessarily conflicting. First, the climate of opinion on such matters was such that the Government felt it necessary to seek to show a balance on the administrative budget. Without further action there would have been a deficit — partly because of the shortfall in revenue caused by the recession. The Government's second objective was to use the budget to counter the recession and re-stimulate economic activity. As a partial resolution of this conflict the Government has proposed steps to reduce the deficit expected in the normal budget, and the simultaneous introduction of a provisional contingency budget (the so-called " Eventualbudget ") for expenditure on investment and investment promotion, to be put into effect if a stimulus to demand seemed necessary. This permitted a shift from current to investment expenditure in the Federal budget, which the authorities consider necessary from a longer-term point of view.

The deficit of the normal budget on an administrative basis foreseen at the turn of the year might, in the absence of further measures, have been of the order of DM 6 billion or more in 1967. In part, this deficit would have been the result of the shortfall of revenue due to the recession in activity and the reduction of the Federal share in income and corporation tax receipts. It has been decided that this part should not be fully allowed for, since action to eliminate it would only have deepened the recession. The revenue estimates of the January budget proposal are therefore based on the assumption of substantial economic expansion. They foresee an 8.4 per cent increase over the outcome in 1966 which in turn was 4.7 per cent up on revenue in 1965. It is assumed that some DM 0.9 billion of the total increase in revenue (DM 3.9 billion) in 1967 will be obtained by accelerating the collection of various taxes, mainly affecting business, by eliminating concessions previously granted in assessing certain indirect taxes and by increasing the contributions from the profits of the postal services. On the expenditure side of the normal budget, cuts in the original estimates are proposed over

1. Other important disincentives to banking inflows remain in force, however. Interest payments on foreign-owned deposits are prohibited and an increase of a bank's foreign liabilities is counted against its rediscount lines with the Bundesbank.

a wide range of items totalling DM 2.6 billion; legislation will be required. This would leave a 6.1 per cent increase in total expenditure in the normal budget, on an administrative basis, over the 1966 outcome, somewhat higher than last year's rate of increase. The gap between overall expenditure and revenue would amount to DM 1.4 billion, roughly one half of the gap resulting in 1966.

The proposals for the provisional contingency budget provide for additional expenditure on investment projects of up to DM 2.5 billion. It is planned to finance these largely by the issue of medium-term bonds. Plans have been prepared for the spending of DM 850 million and orders have already been placed for this part which largely takes the form of investment in the State railways, postal services and road building, where plans are ready and it is envisaged that the extra spending can be accomplished within the year. Plans are being prepared for the spending of the remainder, and it is expected that most of the orders will be placed by the summer.

With quick implementation of the contingency budget Federal budget operations should provide an expansive impact in 1967. The rate of growth of spending on goods and services is estimated to increase from 4.3 per cent last year to 12.9 per cent in 1967 and transfer payments planned are 7.6 per cent higher than in 1966 when they rose by 3.9 per cent. The financial surplus is budgeted at DM 0.7 billion lower than last year's and may well turn out as a deficit given the high revenue estimates on which the budget is based.

One further measure may be of importance. The Government has announced that special depreciation allowances will be introduced for a limited period. The allowances permit 10 per cent of expenditure on plant and machinery incurred before the end of October 1967, and 5 per cent on construction to be offset of tax purposes. It is difficult to estimate how great the effect on private investment might be; the German authorities themselves expect the effect to be substantial.

The prospects for the expenditure of the Länder are more difficult to assess. Their investment expenditure last year was held back by the difficulty of borrowing, coupled with the fact that their income and corporation tax receipts increased less than they would have done if economic activity had not fallen off. Market conditions for resumed borrowing have improved, but the authorities themselves may be somewhat deterred by the volume of indebtedness already incurred. The Länder governments' share in income tax receipts has been increased from 61 to 63 per cent, entailing a transfer of tax receipts of about DM 1 billion; the transfer will, however, turn out smaller given the further " shortfall " of revenue below normal to be expected this year. The 1967 Federal budget also provides for increased transfers to financially weak Länder.

Demand Prospects

In recent weeks the Federal Government has had discussions with representatives of employers, trade unions, and the Sachverständigenrat (Economic Expert Commission) trying as far as possible to generate a common view on the desirable movement of demand, output, income and prices in 1967. As a basis for these discussions the Federal Government has prepared a set of objectives in the form of quantitative estimates for the main demand aggregates. The main assumptions underlying these estimates are as follows:

a) The Federal Eventualbudget will be implemented in full in 1967. Given also the likely development of the finances of the Länder and Communes, there should be scope for a considerable increase in total public fixed investment; public building and construction should rise by 6-7 per cent in current prices.

b) As a result of the policy measures taken, notably the temporary special depreciation allowances, 10 per cent of next year's replacement investment in industrial plant and equipment will be brought forward to 1967.

c) Households' disposable income will rise by 3.5 per cent between 1966 and 1967, with the savings ratio remaining unchanged. Given the level of wages and salaries reached at the beginning of the year, and allowing for the fact that new settlements will be spread out during the year, this assumes an average increase in hourly wage rates of 3.5 per cent. The number of employed is expected to be 250,000 lower than in 1966, reflecting a decline in the foreign labour force of 100,000 and an increase in unemployment of 150,000 to 330,000, i.e., 1.5 per cent of the dependent labour force.

d) Prices are expected to be 2 per cent higher than in 1966. In view of the level reached at the beginning of the year, this assumes an increase in the cost-of-living index of only 1 per cent in the course of 1967. Prices of industrial products are expected to remain stable.

On this basis, the gross national product would increase by 4 per cent in value and 2 per cent in volume between 1966 and 1967. This implies that the weak trend in demand in the first months of the year would be relatively shortlived, being already replaced by a recovery in the spring and summer. A key assumption is that gross fixed capital formation for the year as a whole will be only slightly lower than in 1966. Given the low level to which it had fallen at the beginning of the present year, the official estimate assumes that the measures taken will produce a strong revival of both public and private fixed investment demand at an early date.

In view of the weak state of demand in the early months of the year, the official targets are clearly on the optimistic side. While some resumption of growth in the course of the year appears very likely, the timing and strength of the recovery must necessarily be uncertain, given the margin of error involved in any forecasting of demand. In particular, it is possible to doubt whether the revival of fixed investment demand will be as quick and strong as assumed in the official targets, given the weakness of recent indicators, notably the sharp decline in the inflow of domestic orders to the capital goods industries. It is important, however, that business confidence has improved as a result of the policy measures taken, and that the discussions which the Federal Government has had with employers and trade unions have created a general understanding and support of the authorities' policy measures and targets.

Balance of Payments Prospects

As noted earlier, the rise in merchandise exports should remain strong in 1967, given present prospects for world trade and assuming a further increase in Germany's share of foreign markets. Food imports may rise somewhat faster than last year when the domestic harvest was exceptionally good, and government imports, which were much lower last year than in 1965, may be increased. Nevertheless, total imports are likely to fall in the current half year, given the weak trend in demand. Some upturn can be expected in the second half of 1967 but the increase for the year as a whole is likely to be moderate[1]. The trade surplus can therefore be expected to rise sharply. The non-merchandise account —reflecting rather divergent movements in individual items—may remain virtually unchanged so that the current account could show a large surplus.

It cannot be assumed that the current surplus will be offset by a capital outflow. Indeed, there could be another inflow, particularly if Parliament abolished the withholding tax on foreign-owned bonds. Abolition would be likely to lead to large-scale foreign purchases of German securities in response to the sizeable yield differential which would emerge in favour of German bonds. Even if the withholding tax is retained, there is little reason to suppose any noticeable outflow of private long-term capital unless — which is not yet apparent — interest rates decline faster in Germany than in other major financial markets. On the same reasoning there might be a continued inflow of short-term non-bank funds. And there is a risk that there will be a net inflow of banking funds, given the measures recently taken to check the export

1. The increases in import equalisation taxes which took effect in January 1967 will act as a deterrent to some imports. The increases generally amounted to 1 percentage point on import equalisation rates varying from 4 to 8 per cent. They affected a number of finished and semi-finished goods, in particular in coal, steel, textiles and clothing.

of bank money. Official payments of $ 600 million to be made under the US. Offset Agreement in the first half of the year will help to reduce the surplus. Nonetheless, in the absence of further measures, the German foreign balance may show a large overall surplus.

III. POLICY CONCLUSIONS

In 1966 a main concern of the authorities was to check the rise in costs and prices and remove the current external deficit. Given the inflationary pressures that had developed, action to restore more stable conditions was clearly necessary. But the adjustment has now gone too far; home demand is falling and the foreign balance has swung into large surplus. The immediate object of economic policy must be to get the economy back on a normal growth trend, both for internal and external reasons.

On internal grounds the case for maintaining restrictive fiscal and monetary policies has disappeared in view of the weak trends in the economy already described at some length. A high degree of price/cost stability has been restored. And the slack that has developed, reflected in growing unemployment and declining capacity utilisation rates, clearly points to the desirability of an early resumption of economic expansion.

On external grounds it is also desirable that a faster rate of expansion should be resumed as soon as possible. Given the heavy weight of German imports in international trade, the German economy cannot remain stagnant for long without causing serious difficulties for other countries' exports and production. And the large balance of payments surplus likely to develop in 1967 could raise problems for other countries. It is clear that any faster rate of growth that can reasonably be considered as practicable would still leave a substantial current account surplus: the balance of payments is certainly no limitation on re-expansion. Although the period of inordinately strong competitive position of exports seems to have ceased with the revaluation and the basic change in labour market conditions in the early 'sixties, German exports have improved their share of foreign markets in recent years. With the economy expanding at a satisfactory rate, the rise in imports and net invisible payments would probably still leave the current account in moderate surplus — a position in line with official policy objectives and one, indeed, appropriate to a high-income, industrialised country so long as measures are taken to secure a compensating outflow of capital.

On present policies, prospects appear to be for some revival of home demand in the course of the year. If the recovery should prove to be weaker and slower in coming than envisaged by the Federal Govern-

ment, the authorities will no doubt wish to consider whether further reflationary measures should be taken. It is important to ensure a real recovery of the capital market and a steady fall in interest rates. This should have favourable effects on demand, and would seem essential from the point of view of the balance of payments. But it is not irrelevant *how* easier monetary conditions are archieved. Abolition of the withholding tax has been proposed to increase the inflow of foreign funds. This is clearly an unsatisfactory situation from the point of view of the balance of payments. Given the large surplus on the current foreign balance likely in 1967 it is essential that monetary ease should be generated by relaxation of *domestic* restraints on liquidity to support a revival of the capital market and stimulate an outflow of long- and short-term capital on a scale sufficient to provide a significant offset to the current account surplus. Measures in this direction have already been taken, including a reduction of reserve requirements. It is possible, however, that further action will be required. For such an outflow to be achieved, interest rates in Germany would have to fall below the rates prevailing in other major financial markets. Given the desirability of bringing interest rates down in most countries, and Germany's strong balance of payments position, it would be appropriate for Germany to take a positive lead in this direction. Another means to offset the current account surplus would be to increase official German development aid as far as possible.

Given the uncertainties which necessarily exist with regard to the future course of demand — particularly the strength of investment demand in existing conditions of low rates of capacity utilisation — there may also be need for additional fiscal measures to stimulate demand. These would, initially, increase the administrative budget deficit. There is a widespread impression in Germany that a budget deficit will lead swiftly to inflation. This would be true in some circumstances — if demand were already high in relation to overall supply. But this is not the situation in Germany at present. On the contrary, demand is deficient, and a stimulus is needed to bring the economy into better balance. For the stimulus to be provided by fiscal policy, Federal expenditure would have to increase faster than receipts. The problem of financing the deficit may well set limits to the stimulus that can be provided in this way; but the broad test of budget policy should not be so much whether the budget (however defined) is in balance, but rather whether it contributes to a reasonable balance in the economy as a whole. To consider the budget only in the light of whether it is in balance or not can well deprive the Government of its power to create an economic climate conducive, simultaneously, to growth and stability.

It is to be hoped that by one means or other the economy regains a more normal rate of expansion fairly soon. But the pressure of

demand has by now been considerably reduced as compared with the levels ruling one or two years ago; and this more balanced state of demand seems likely to persist. This in itself should provide a climate in which the excessive cost and price pressures of previous years continue to subside. But experience in other countries suggests that the proper management of demand, though essential, is not always sufficient to maintain price stability. The stability of prices requires that wages and other incomes in total should increase in line with the growth of national productivity. Wage earners and others are accustomed to periodic increases in their money incomes; and there is a considerable element of tradition or custom in the amount of annual increase which they consider reasonable. It would therefore be expecting a great deal from automatic economic mechanisms to rely on general demand management alone to guarantee a perfect equivalence each year between cost increases and the increases that the economy could absorb. The type of arrangements and institutions required to deal with this problem differ widely in different countries. The new Federal Government has developed a policy of concerted action on incomes in 1967, and has contacted the trade unions and the employers to this end. Present conditions, in which there is little immediate danger of great wage pressures, should be favourable to the evolution of an incomes policy and there are indications that the efforts are being met with success, which would be a good omen for the future.

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STATISTICAL ANNEX

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TABLE I. NATIONAL PRODUCT

DM billion.

	AT CURRENT PRICES					AT 1954 PRICES				
	1962	1963	1964	1965	1966	1962	1963	1964	1965	1966
Expenditure:										
Private consumption	204.0	215.9	232.9	255.1	272.8	172.8	177.9	187.5	199.1	205.5
Public consumption	53.1	59.2	61.7	69.6	75.1	39.8	43.1	42.6	45.5	45.6
Gross fixed asset formation	90.2	95.3	109.2	119.1	122.7	69.4	71.4	80.0	85.5	86.0
Change in stocks	3.5	2.1	4.7	6.6	1.2	3.1	2.0	4.4	6.0	1.0
Net transactions in goods and services	3.7	5.0	5.3	— 0.8	6.6	— 5.5	— 5.1	— 6.0	—12.8	— 6.2
Gross national product at market prices	354.5	377.6	413.8	449.6	478.4	279.6	289.3	308.5	322.2	331.9
Industrial origin:										
Agriculture, forestry, fishing	18.0	19.3	20.5	20.1	20.1	15.7	17.0	17.9	16.7	16.4
Industry	189.9	199.0	218.9	237.7	248.8	157.5	162.0	175.7	186.4	191.0
Transport and commerce	69.7	73.9	80.6	87.5	92.8	54.6	56.1	58.8	61.7	63.4
Other services	77.4	85.8	94.6	105.4	117.5	52.5	54.9	57.0	59.4	61.9
	AT CURRENT PRICES									
	DM billion					*Per cent*				
Factor shares:										
Compensation of employees	173.9	186.5	204.4	225.8	243.2	63.9	64.5	64.6	65.9	67.1
of which: Employers' contributions to social security	18.7	20.0	21.0	23.1	25.7	6.9	6.9	6.6	6.7	7.1
Income from self-employment, property and entrepreneurship[1]	78.4	82.5	90.2	95.2		28.8	28.5	28.5	27.8	
Corporate savings	5.2	5.3	6.4	5.1		1.9	1.8	2.0	1.5	
Direct corporate taxes	9.9	9.7	10.2	10.3		3.6	3.4	3.2	3.0	
Government income from property and entrepreneurship	6.6	7.3	7.8	8.3		2.4	2.5	2.5	2.4	
Less: interest on public debt	2.1	2.3	2.4	2.7		0.7	0.8	0.8	0.8	
National income	271.9	289.0	316.5	342.6	362.5	100.0	100.0	100.0	100.0	100.0

1. Net of interest on consumers' debt.

Source: Wirtschaft und Statistik.

Table II. EMPLOYMENT AND LABOUR MARKET

	THOUSAND, MONTHLY AVERAGES					PERCENTAGE CHANGE FROM PREVIOUS YEAR				
	1962	1963	1964	1965	1966	1962	1963	1964	1965	1966
Labour force	26,937	27,066	27,148	27,300	27,243	0.6	0.5	0.3	0.6	— 0.2
Employment	26,783	26,880	26,979	27,153	27,082	0.7	0.4	0.4	0.6	— 0.3
Self-employed, including female helpers	5,730	5,577	5,432	5,312	5,212	— 2.2	— 2.7	— 2.6	— 2.2	— 1.9
Wage and salary earners	21,053	21,303	21,547	21,841	21,870	1.6	1.2	1.1	1.4	0.1
of which: foreign[1]	629	773	903	1,119	1,232	33.0	22.9	16.7	24.0	10.1
Agriculture, forestry, fishing	3.383	3,230	3,084	2,966		— 4.6	— 4.5	— 4.5	— 3.8	
Industry and handicrafts	12,916	12,969	13,022	13,218		1.0	0.4	0.4	1.5	
Trade and services	10,484	10,681	10,873	10,969		2.2	1.9	1.8	0.9	
Dependent employment in industry and building	9,732	9,734	9,812	9,972	9,859	1.1	—	0.8	1.6	— 1.1
of which: machinery	1,052	1,039	1,041	1,079	1,092	2.4	—1 .2	0.2	3.7	1.2
electrical equipment	917	916	932	972	963	1.4	— 0.1	1.7	4.4	— 0.9
vehicles	454	469	489	514	518	10.2	3.3	4.3	5.1	0.8
textiles and clothing	963	950	933	935	934	— 0.9	— 1.3	— 1.8	0.2	— 0.1
chemicals	495	502	529	529	937	1.0	1.4	1.8	3.5	1.5
building and construction	1,455	1,532	1,570	1,569	1,532	5.5	5.3	2.5	—	— 2.4
Hours worked, million:										
Industry, wage earners	1,083	1,048	1,051	1,055	1,018	— 3.0	— 3.2	0.3	0.4	— 3.4
Building and construction, total	226	222	242	233	233	1.4	— 1.7	9.3	— 3.7	— 0.2
Unemployment	154	186	169	147	161	— 14.5	20.1	— 9.1	— 13.0	9.5
Jobs vacant	574	555	609	649	540	4.0	— 3.3	9.7	6.5	— 16.8

1. Averages of end of quarters.

Sources: Wirtschaft und Statistik; Statistisches Jahrbuch der BRD.

TABLE III. INDUSTRIAL PRODUCTION, NEW ORDERS AND DELIVERIES

Seasonally adjusted indices.

	BASE YEAR	1964	1965	1966	1965				1966			
					I	II	III	IV	I	II	III	IV
Production:												
Industry, excl. building	1960	125	132	134	131	132	131	133	135	136	133	131
Capital goods	—	123	132	130	132	133	131	132	132	134	129	127
Consumer goods[1]	—	123	132	135	130	130	132	133	137	138	135	130
Materials	—	130	138	144	137	138	139	140	144	146	143	143
Construction, not seasonally adjusted	—	135	138	142	93	164	156	138	108	169	152	147
New orders in manufacturing, all markets	1954	247	263	263	256	260	262	264	267	267	260	250
domestic	—	233	248	240	240	245	246	247	248	245	237	223
foreign	—	318	340	385	327	332	345	349	361	385	389	396
Capital goods, all markets	—	310	336	333	328	330	334	338	332	343	329	316
domestic	—	293	321	302	314	316	320	321	308	315	296	279
foreign	—	357	377	427	368	370	374	384	402	430	432	435
Consumer goods,[1] all markets	—	196	210	206	202	209	211	211	220	210	204	190
domestic	—	194	208	202	200	207	209	209	217	206	200	184
foreign	—	224	240	268	224	229	245	254	264	266	275	270
Deliveries by manufacturing, all markets	—	241	260	270	253	257	259	263	269	273	269	261
domestic	—	229	247	251	241	244	245	248	255	255	248	238
foreign	—	303	327	371	312	321	329	337	344	359	384	383
Capital goods, all markets	—	299	328	343	315	324	326	334	339	347	340	332
domestic	—	287	317	321	305	313	315	322	324	332	314	301
foreign	—	334	356	407	341	351	354	368	380	386	420	422
Consumer goods[1], all markets	—	193	210	216	203	208	210	213	222	217	220	205
domestic	—	191	208	213	201	206	208	211	220	214	217	201
foreign	—	222	233	265	225	228	231	242	251	258	271	266

1. Excluding food, drinks and tobacco.

Sources: Main Economic Indicators, OECD, IFO Schnelldienst.

Table IV. WAGES AND PRICES

Indices.

	BASE YEAR	1963	1964	1965	1966	1965				1966			
						I	II	III	IV	I	II	III	IV
Earnings and productivy in manufacturing and mining:													
Hourly wage rates	1960	126.9	135.3	145.8	.	141.6	144.8	147.6	149.2	152.2	156.1	157.9	
Hourly gross earnings	—	132.2	143.3	157.3	167.8	151.5	155.6	159.8	162.0	162.4	167.8	170.4	170.6
Gross earnings per employee	—	129.3	141.1	154.8	165.7	143.9	152.4	157.3	165.6	155.0	164.7	168.4	174.8
Output per employee	—	111.7	120.3	124.7	.	121.6	128.5	118.6	130.1	124.9	133.1	121.1	
Earnings per employee/output per employee	—	115.8	117.3	124.1	.	118.3	118.6	132.6	127.3	124.1	123.7	140.0	
Prices:													
Agricultural producer prices	1961/63	103.7	104.9	112.3	113.0	108.1	111.6	113.5	116.0	115.2	113.5	111.6	111.6
Vegetable products	—	98.1	94.5	104.5	105.9	101.1	109.2	104.0	103.8	113.5	116.7	97.7	95.8
Animal products	—	105.6	108.4	114.9	115.3	110.4	112.5	116.6	120.1	115.7	112.6	116.2	116.9
Industrial producer prices, home market sales	1962	100.5	101.6	104.0	105.8	103.3	103.9	104.2	104.7	105.6	106.2	105.9	105.7
of which: Capital goods	—	101.0	102.8	105.9	108.6	105.3	105.8	106.2	106.4	107.2	108.9	109.3	108.8
Consumer goods[1]	—	101.1	101.9	104.4	106.7	103.4	104.2	104.8	105.1	106.1	106.6	106.9	107.2
Cost of dwelling construction[2]	—	104.6	108.6	112.6	116.1	110.5	112.9	113.3	113.6	114.7	116.7	116.8	116.2
Export prices, industrial goods	1958	100.6	104.2	106.8	108.7	106.5	106.7	106.8	107.0	107.9	109.1	109.0	109.0
of which: Capital goods	—	107.7	111.2	114.5	117.3	113.9	114.4	114.7	115.2	116.1	117.3	117.7	118.1
Consumer goods[1]	—	101.3	102.8	105.6	108.2	104.9	105.5	106.1	106.7	107.2	108.1	108.7	108.7
Import prices, industrial goods	—	94.4	97.3	98.1	102.3	97.5	97.8	98.1	99.0	100.5	104.1	102.6	101.9
of which: Capital goods	—	97.9	101.6	102.2	103.6	101.8	101.8	102.5	102.8	103.2	103.5	103.8	103.8
Consumer goods[1]	—	94.6	94.0	94.7	96.5	94.2	94.3	95.1	95.2	95.9	96.7	96.8	96.8
The cost of living, total	1962	103.0	105.4	109.0	112.8	107.2	108.6	109.7	110.3	111.8	113.1	112.9	113.4
Food, drinks, tobacco	—	102.9	105.0	109.0	112.0	106.5	108.8	110.4	110.2	111.7	113.2	111.6	111.6
Non-food	—	103.1	105.7	109.0	113.4	107.8	108.4	109.2	110.3	111.9	113.1	113.9	114.8
of which: Rent	—	105.6	112.1	118.5	129.7	116.4	117.7	119.1	120.9	126.2	128.9	130.8	132.9
Other	—	102.6	104.4	107.1	110.1	106.1	106.5	107.2	108.2	109.0	109.9	110.5	111.1

1. Excluding food, drinks and tobacco.
2. Data relate to the end of February, May, August and November.

Sources: Wirtschaft und Statistik; Industrie und Handwerk, Reihe 1, 2.

Table V. MONEY AND BANKING

DM million, end of period.

	1962	1963	1964	1965				1966			
				I	II	III	IV	I	II	III	IV
Money circulation and official foreign reserves (DM million):											
Note and coin circulation	25,760	27,152	29,545	30,250	31,345	31,603	31,453	32,044	32,978	33,305	32,906
Sight deposits of German non-banks	43,375	46,361	48,343	45,790	48,485	49,085	50,997	48,931	50,787	48,193	50,816
Bundesbank gold and freely usable foreign assets	25,786	28,409	27,879	27,442	25,571	25,214	25,410	24,598	24,775	25,814	27,085
of which: gold	14,716	15,374	16,992	16,973	17,511	17,560	17,639	17,608	17,239	17,179	17,167
Banks' lending to, and deposits from non-banks (DM million):											
Lending, total	184,125	208,917	237,898	243,841	252,947	260,769	269,972	277,112	285,458	290,807	296,156
Public authorities	27,448	32,691	39,839	41,181	42,363	44,122	46,612	48,413	49,433	50,932	53,269
Other non-banks	156,677	176,226	198,059	202,660	210,584	216,647	223,360	228,699	236,025	239,875	242,887
Short-term	51,168	54,977	60,697	61,947	65,376	65,710	67,731	69,520	72,917	72,707	72,811
Medium-term	18,364	21,003	23,418	23,555	24,815	26,447	27,628	28,970	30,515	31,845	32,932
Long-term	114,593	132,937	153,783	158,339	162,756	168,612	174,613	178,622	182,027	186,255	190,413
Deposits, total	133,081	149,659	166,419	167,548	173,617	174,831	187,475	186,376	192,475	196,162	209,054
Public authorities	21,165	22,479	22,330	21,647	21,995	21,401	22,347	21,186	22,021	22,661	23,841
Other non-banks	111,916	127,180	144,089	145,901	151,622	153,430	165,128	165,191	170,455	173,501	185,213
Short-term	40,064	43,326	46,272	42,741	45,947	45,796	50,150	45,307	48,161	46,628	49,884
Medium-term	23,143	24,811	25,935	25,790	25,651	24,608	26,647	26,675	27,263	29,537	32,059
Long-term	69,874	81,522	94,212	99,016	102,018	104,428	110,678	114,394	117,051	119,997	127,112
Bank liquidity (DM million):											
Domestic liquid assets[1]	4,973	5,849	3,991	4,636	3,736	3,644	3,214	3,077	2,625	2,331	3,928
Foreign liquid assets[2]	2,156	2,548	3,287	3,997	3,881	3,432	3,634	3,725	3,867	4,443	3,517
Total liquid holding	7,129	8,387	7,278	8,633	7,617	7,076	6,348	6,802	6,492	6,774	7,445
less: recourse to Bundesbank credit	2,473	2,098	3,450	4,568	5,219	6,431	5,488	7,920	7,812	7,055	6,280
less: net foreign short-term credit	715	829	987	— 79	— 186	369	737	45	144	302	264
Net liquid holdings	5,941	5,460	2,841	4,144	2,584	276	623	— 1,163	— 1,464	— 583	901
Interest rates (per cent):											
Bank rate	3.0	3.0	3.0	3.5	3.5	4.0	4.0	4.0	5.0	5.0	5.0
Day-to-day money[3]	3.5	2.4	2.8	4.1	4.6	5.0	3.9	5.2	6.4	5.6	5.9
Bonds of public authorities	6.1	6.0	6.4	6.5	7.1	7.4	7.7	7.7	8.4	8.5	7.7

1. Domestic treasury bills and non-interest bearing treasury bonds, storage agency bills and prime bankers' acceptances.
2. Short-term balances with foreign banks and foreign money market paper.
3. Averages of extremes during last week of period.

Source: Monthly Report of the Deutsche Bundesbank.

Table VI. THE CAPITAL MARKET

	1962	1963	1964	1965	1966
New security issues[1] (DM million):					
Gross issues	14,141	17,904	20,045	20,181	12,747
Domestic fixed interest securities	11,845	16,425	16,907	14,833	9,399
Foreign fixed interest securities	100	160	895	1,389	659
Equities (issue value)	2,196	1,319	2,243	3,959	2,689
Net issues of fixed interest securities	9,628	12,173	14,398	13,826	6,146
Foreign	97	107	890	1,358	622
Domestic	9,531	12,066	13,508	12,468	5,524
Public authorities	2,351	3,265	3,266	3,109	420
Industry	592	343	334	363	1
Banks	6,588	8,458	9,908	8,996	5,103
Net purchases of domestic securities by foreign investors, total (DM million)	1,522	2,901	568	795	681
Fixed interest securities	722	1,991	5	103	— 128
Equities	800	910	563	692	809
Net change in banks' holdings of domestic securities[1] (DM million)	3,575	3,700	4,829	3,331	1,134
Bank bonds	2,880	3,100	3,255	2,697	956
Other fixed interest securities	673	451	1,213	359	— 19
Equities	22	149	362	274	197
Average yield on bonds in circulation (per cent)	6.0	6.1	6.2	6.8	7.8
of which: public	5.9	6.0	6.2	7.1	8.1
Average yields on equities (per cent)	3.3	3.3	3.0	3.6	4.3
Average equity prices (index, 1960 = 100)	76	73	84	75	65

1. Including medium-term bonds (Kassenobligationen).

Source: Deutsche Bundesbank.

Table VII. MERCHANDISE TRADE BY AREA

DM million, monthly averages.

	TOTAL	OECD COUNTRIES					THIRD COUNTRIES					
		TOTAL	EEC	EFTA	NORTH AMERICA	OTHER	EUROPE[1]	AFRICA	MIDDLE AND SOUTH AMERICA	ASIA[1]	AUSTRALIA AND OCEANIA	EASTERN BLOC
	Imports c.i.f.											
1962	4.125	2,923	1,331	783	659	151	77	224	358	305	52	180
1963	4,356	3,125	1,445	804	724	152	81	271	332	315	45	180
1964	4,903	3,512	1,699	890	737	185	85	369	349	326	54	201
1965	5,871	4,297	2,221	1,011	842	223	99	428	396	343	57	243
I	5,427	3,927	2,007	952	762	207	83	421	387	347	52	203
II	5,812	4,259	2,229	984	855	192	90	436	421	326	58	215
III	5,902	4,304	2,275	1,001	817	210	104	409	404	355	64	253
IV	6,342	4,700	2,372	1,107	936	283	118	445	370	346	53	301
1966	6,056	4,381	2,315	996	839	231	104	481	391	371	57	263
I	6,037	4,366	2,277	1,037	804	249	92	477	384	397	64	249
II	6,083	4,414	2,377	990	837	211	107	474	415	370	55	240
III	5,878	4,206	2,269	952	784	201	107	463	396	355	66	276
IV	6,226	4,539	2,336	1,006	933	264	110	509	371	369	42	285
	Exports f.o.b.											
1962	4,415	3,324	1,501	1,226	367	230	115	178	275	281	50	179
1963	4,859	3,777	1,813	1,316	394	254	105	217	240	301	53	151
1964	5,410	4,173	1,969	1,474	450	280	126	250	259	331	59	193
1965	5,971	4,572	2,102	1,612	543	315	145	271	278	395	67	223
I	5,792	4,416	2,091	1,548	468	310	133	279	271	411	64	199
II	5,796	4,465	2,050	1,599	525	291	152	256	259	368	65	213
III	5,751	4,370	1,951	1,570	542	308	139	267	281	375	69	228
IV	6,543	5,035	2,314	1,732	637	353	153	282	303	427	70	251
1966	6,719	5,179	2,440	1,692	675	372	158	272	322	423	68	276
I	6,319	4,905	2,340	1,610	589	365	141	264	297	412	66	213
II	6,541	5,075	2,405	1,691	616	364	161	245	304	399	73	261
III	6,630	5,082	2,373	1,648	713	348	150	264	339	416	67	290
IV	7,385	5,653	2,641	1,819	781	412	180	315	346	466	65	339

1. Excluding Eastern Bloc countries.

Source: Aussenhandel, Reihe 1.

Table VIII. MERCHANDISE TRADE BY COMMODITY GROUPS

DM million, monthly averages.

	1962	1963	1964	1965	1966	1965 1st QTR.	1965 2nd QTR.	1965 3rd QTR.	1965 4th QTR.	1966 1st QTR.	1966 2nd QTR.	1966 3rd QTR.	1966 4th QTR.
	Imports c.i.f.												
Products of agriculture, forestry and fishing	999	920	1,023	1,161	1,182	1,051	1,164	1,163	1,266	1,244	1,214	1,105	1,167
Basic materials and semi-finished goods	1,464	1,553	1,904	2,139	2,203	2,042	2,155	2,189	2,173	2,133	2,241	2,231	2,206
Manufactured foods and tobacco	388	397	418	520	550	445	467	518	650	559	502	542	597
Other consumer manufactures	471	518	594	746	808	694	689	771	831	852	782	822	778
Investment goods	584	597	704	924	1,024	803	965	866	1,062	1,046	1,072	930	1,046
Other imports	218	371	259	380	289	392	372	395	360	204	272	249	433
Total	4,125	4,356	4,903	5,871	6,056	5,426	5,812	5,902	6,342	6,037	6,083	5,878	6,226
	Exports f.o.b.												
Products of agriculture, forestry and fishing	40	50	57	65	65	72	57	58	72	74	60	52	76
Basic materials and semi-finished goods	1,421	1,517	1,665	1,844	2,076	1,801	1,776	1,846	1,952	1,946	2,028	2,097	2,232
Manufactured foods and tobacco	76	81	101	125	129	121	124	119	136	123	125	128	141
Other consumer manufactures	413	470	544	603	682	570	567	608	666	653	644	699	732
Investment goods	2,408	2,676	2,965	3,240	3,654	3,146	3,177	3,032	3,606	3,418	3,566	3,553	4,080
Other exports	57	64	79	94	112	82	95	88	112	105	118	101	124
Total	4,414	4,859	5,410	5,971	6,719	5,792	5,797	5,751	6,543	6,319	6,541	6,630	7,385

Source: Aussenhandel Reihe 1.

Table IX. THE BALANCE OF PAYMENTS

$ million.

	1963	1964	1965	1966
Trade balance	2,280	2,382	1,273	2,916
Exports f.o.b.	14,572	16,197	17,870	20,097
Imports f.o.b.	12,287	13,762	16,635	17,233
Merchandise transactions abroad	— 5	— 53	38	52
Services, net	— 785	— 1,031	— 1,326	— 1,336
Foreign travel, net	— 477	— 495	— 662	— 820
Freight and insurance, net	— 135	— 218	— 153	— 135
Investment income, net	— 321	— 419	— 466	— 414
Receipts from foreign troops	1,072	1,055	1,040	1,239
Other services, net	— 924	— 953	— 1,085	— 1,205
Transfers, net	— 1,240	— 1,236	— 1,465	— 1,475
Official, net	— 839	— 775	— 868	— 787
Private, net	— 401	— 461	— 597	— 688
of which: foreign worker remittances	— 275	— 321	— 425	— 484
Current balance	255	116	— 1,518	105
Long-term capital, net[1]	527	— 158	207	31
Official, net[1]	— 253	— 270	— 319	— 340
Private, net	780	112	526	371
Foreign investment in Germany, net	1,092	580	1,005	980
Fixed interest securities, net	498	1	26	— 32
Equities, net	228	141	173	216
Business participations, net	147	189	442	281
Loans and credits, net	245	274	395	542
Other, net	— 26	— 25	— 31	— 27
German investment abroad, net	— 312	— 468	— 479	— 609
Fixed interest securities, net	— 55	— 122	— 98	— 131
Equities, net	— 66	— 87	— 164	— 221
Business participations, net	— 98	— 144	— 102	— 117
Loans and credits, net	— 51	— 104	— 61	— 92
Other, net	— 42	— 41	— 54	— 48
Basic balance	783	— 42	— 1,311	136
Non-monetary short-term capital	— 61	— 201	562	373
Errors and omissions	— 169	377	480	206
Balance on non-monetary transactions	553	134	— 269	715
Private monetary instit. short-term capital	176	13	— 47	— 97
Assets	— 32	— 177	— 80	5
Liabilities	208	190	33	— 102
Balance on official settlements	729	147	— 316	618
Net IMF position	— 35	— 361	— 164	— 180
Special transactions	—	—	— 115[2]	— 118[3]
Miscellaneous official accounts	— 38	81	— 19	98
Change in reserves (+ = increase)[4]	656	— 133	— 614	418
a) Gold	165	404	612	— 118
b) Convertible foreign exchange	220	— 931	— 702	786
c) Other assets[4]	271	394	— 74	— 250

1. Excluding special transactions.
2. Special deposits with the Bank of England.
3. Including prepayment of pre-war government debt to BIS.
4. Including Roosa Bonds.

Source: Monthly Report of the Deutsche Bundesbank.

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